

The three key takeaways from this chapter:

1. **Patience premium in equity investing:** Given the behavioural concept of ‘Myopic loss aversion’ defined by Shlomo Benartzi and Richard Thaler, investors who do not have even a year of patience, i.e. stock holding periods less than one year, are likely to believe that ‘more often than not, people lose money in equity markets’. For stock holding periods greater than one year, the Sensex’s return over the past twenty-six years suggests that as the investment holding period increases from one year to ten years, the investor’s position on a risk-reward matrix moves from ‘high-risk low-return’ to ‘low-risk high-return’.
2. **Quality premium in equity investing is higher for shorter time periods:** Let us assume that the ‘quality’ of a stock is defined as the quality of its returns profile—healthy and sustainable being better than weak and unsustainable. Intuition suggests that shorter investment horizons are akin to speculative investing, where investors do not need to focus too much on the quality of the company to generate good returns. Over longer investment horizons, one would intuitively imagine, investors would need to rely on high-quality companies for superior returns. However, our analysis shows that whilst the quality premium exists across all holding periods for the Coffee Can Portfolio (CCP), *the quantum of the quality premium is higher for shorter holding periods* (three years and five years) compared to longer holding periods (seven years and ten years). Hence, the extent of outperformance that an investor can generate by upgrading the quality of her/his portfolio is greater for shorter holding periods (compared to longer holding periods).
3. **Combining quality premium with patience premium:** Whilst both the Sensex and the Coffee Can Portfolio (CCP) produce better returns (alongside lower volatility) if held longer, the CCP beats the Sensex by a wide margin when it comes to producing superior returns (with its volatility being even lower than that of the Sensex). An investor who is able to combine patience with high-quality portfolio construction thus pulls off the holy grail of investing—outstanding returns with low levels